

SECTION 4: OWNERSHIP & EXPANSION OF FIRMS

4.1 PUBLIC ENTREPRISES

Multiple Choice Questions

1991/CE/II/13

Which of the following statements is true about the public utilities in Hong Kong?

- A. All public utilities are government-owned.
- B. The setting up of public utilities requires government franchises.
- C. The government has imposed a maximum limit on profits on all public utilities.
- D. In return for a franchise, a public utility is regulated by the government.

1991/CE/II/14

Which of the following is a possible consequence when government-run car parks become privately run? In these car parks, there will be

- A. greater efficiency in management.
- B. more car theft.
- C. less frequent changes in parking fees.
- D. shorter business hours.

1992/CE/II/19

Which of the following is an advantage of Tate's Cairn Tunnel (大老山隧道) being run by the private sector rather than by the government?

- A. The private firm has more freedom in staff management.
- B. Management by the private firm helps to ease traffic congestion.
- C. The private firm charges users a lower price than the government would charge.
- D. The private firm pays a lower interest rate on its loans than the government would have to pay.

1993/CE/II/12

Which of the following is true about the post office in Hong Kong?

- A. It is a kind of capital.
- B. It is granted a franchise by the government.
- C. It faces no competition in providing its services.
- D. It pays dividends to its employees whenever there is a profit.

1993/CE/II/17

In Hong Kong, a public radio broadcasting company enjoys the following advantage over a private radio broadcasting company:

- A. lower production costs
- B. priority in obtaining world news
- C. a more extensive division of labour
- D. the ability to deal more easily with financial difficulties

2025/DSE/I/31

Refer to the following hypothetical case.

Country P experiences a long period of hyperinflation. When workers receive wages in P dollar (the legal tender of Country P), they would quickly use the P dollar to buy gold or convert it into US dollar. Some workers even only accept jobs with wages denominated in US dollar. Lenders generally do not accept repayment of loans in P dollar when lending money.

Based on the above information, which functions of money of the P dollar were weakened?

- (1) medium of exchange
 - (2) store of value
 - (3) standard of deferred payment
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- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Short & Structured Questions

1993/CE/I/3(a)

The Mass Transit Railway Corporation (MTRC) is a public corporation.

- (i) Who owns a public corporation? (2 marks)
- (ii) From the view point of society, give **TWO** advantages a public corporation has over a government department and **ONE** advantage it has over a private firm. Answer the question with reference to the MTRC. (6 marks)

(Note: In year 2000, the MTRC was privatized and has since then become a listed company.)

2017/DSE/II/10(b)

MTR Corporation Limited (stock code: 66) provides railway services in Hong Kong.

Some politicians suggest that the government should buy back the shares of MTR so that the company would become wholly owned by the government. Discuss the suggestion by giving **ONE** argument **FOR** and **ONE** argument **AGAINST** it. (4 marks)

2019/DSE/II/3

Give **ONE** example of public corporation in Hong Kong. With reference to your example, state **TWO** advantages of providing the service by a public corporation instead of a private enterprise. (3 marks)

2025/DSE/II/4(Cross Topic1.7)

In Hong Kong, there are many yoga studios providing yoga classes.

- (a) Give **TWO** reasons to explain why the market of yoga classes in Hong Kong is **NOT** perfectly competitive. (4 marks)
- (b) Miss Chan and her friends jointly operate a yoga studio in the form of a private limited company in Hong Kong.
- (i) Define 'limited liability'. (2 marks)
- (ii) Give **TWO** possible reasons why they chose to set up a private limited company instead of a public limited company. (2 marks)